Nitta Gelatin India Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Maker of ossein, gelatin and collagen peptide from bovine bone, plus DCP (dicalcium phosphate, an animal-feed by-product). Gelatin goes mainly into hard and soft capsules for pharma and nutraceutical makers; collagen peptide goes into protein and health supplements. It is 74.49% owned by Japan's Nitta Gelatin Inc. and exports a large share of what it makes.

Number	Value	What it means
Market cap	Rs 1,646 cr	What the market values the whole company at (Screener). The share price has more than doubled from its 52-week low.
FY26 revenue	Rs 588 cr	Sales for the year, up 12%.
FY26 operating margin	23%	Operating profit per Rs 100 of sales, up from 20% in FY25 and 8-12% before FY23.
Q2 FY27 revenue	Rs 169 cr	July to September 2026 sales, up 22% on last year and a record quarter.
Q2 FY27 operating margin	28%	Up from 19% a year ago; operating profit Rs 48 cr vs Rs 26 cr.
P/E	12.9x	The price is about 13 years of current earnings, with return on capital of about 31%. Cheap-looking, but this is a business whose prices swing.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive.

Sources used:

- Screener.in page for Nitta Gelatin India (NITTAGELA / BSE 506532): quarterly and annual numbers to Sep 2026, shareholding
- FY2025-26 annual report: Management Discussion & Analysis and Directors' Report (via IndiaInfoline), signed 25 May 2026
- Q4 FY26 results coverage (Multibagg, 4 May 2026)
- Q2 FY27 results coverage (Univest, results declared 30 Oct 2026)
- Profile of the Japanese parent Nitta Gelatin Inc. and its India expansion (Envalith, FY2026 results)

Latest update highlights: Q2 FY27 results (declared 30 Oct 2026) and FY26 annual report

- Q2 FY27 revenue Rs 169 cr, up 22%; operating profit Rs 48 cr, margin 28% vs 19% a year ago. The last three quarters (Dec 2025 to Sep 2026) all ran at 24-28% margins versus about 18-20% before.
- FY26 (annual report): gelatin plants ran at full capacity even with weak global gelatin demand, by reshuffling customers and products. Gelatin exports fell because of US tariffs, but strong domestic demand made up for it 'without value loss'.
- Collagen peptide is the growth line: export volumes roughly doubled and domestic volumes rose 90% in FY26, after new capacity was commissioned. US collagen customers were willing to pay the higher tariffs if supply was assured.
- DCP sales rose 25% on better prices, after new acid rules made domestic rock DCP production unviable.
- Next step per the Japanese parent: gelatin capacity in India going from 4,500 to 7,500 tonnes a year, scheduled to start in July 2027. No company guidance and no earnings calls.

Business mix & capacity

Domestic vs export: The FY26 directors' report says all ossein/limed ossein sales, 33% of gelatin sales and 69% of collagen peptide sales were exports. Overall export share not given.

Capacity use: Gelatin ran at full capacity in FY26. The parent says collagen peptide capacity went from 1,150 to 1,800 tonnes a year from July 2025, with more planned, and gelatin goes from 4,500 to 7,500 tonnes a year from July 2027.

3. Earning Trigger thesis

The trigger is new capacity in higher-value products: collagen peptide capacity added in FY26 (volumes jumping on strong North American protein demand) and a large gelatin expansion due in July 2027, at a time when gelatin plants are already full. Margins have stepped up from about 20% to 24-28% over the last three quarters. The risks are price swings, US tariffs and cheap Chinese gelatin.

Trigger	What management said	Evidence so far	Time horizon	Strength
Collagen peptide expansion	New capacity commissioned in FY26; more planned	Export volume roughly doubled, domestic up 90% in FY26	Now	Strong: in the numbers
Gelatin expansion (4,500 to 7,500 t/yr)	Scheduled for July 2027 (parent disclosure)	Under construction; current plants already full	FY28	Moderate: not yet built
Better prices and mix (DCP, sourcing)	Better raw material sourcing eased price pressure; DCP prices up	Margin 28% in Q2 FY27 vs 19% a year ago	Now	Moderate: prices can turn

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not stated.
New business	No	Same products; collagen peptide is an existing line being scaled.
Margin up	Yes	FY26 operating margin 23% vs 20% (annual report); Q2 FY27 at 28% vs 19% (results).
New management	No	Nothing reported.
New capacity	Yes	Collagen peptide capacity added in FY26 (annual report); gelatin expansion scheduled for July 2027 (parent).
Big orders	No	Not an order-book business.
Turnaround	No	Profitable throughout.
Promoter buying	No	Japanese parent's stake flat at 74.49%.

The single concrete driver: New collagen peptide capacity is selling into strong protein-supplement demand, with a bigger gelatin plant due in July 2027.

3c. Margin bridge

Operating margin is 28% now versus 19% a year ago. The annual report points to better raw material sourcing, full gelatin plants, a richer mix with more collagen peptide, and higher DCP prices. Company doesn't say whether it lasts; gelatin and peptide prices fell in FY26, so part of it depends on prices holding (lasting, but price-sensitive).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY26 annual report	Collagen peptide expansion to serve demand	Commissioned; volumes up sharply	Delivered

Period	What was promised	What actually happened	Verdict
FY26 annual report	Offset US tariff hit on gelatin exports	Domestic demand made up for it; FY26 sales up 12%	Delivered
Parent disclosure	Gelatin expansion to 7,500 t/yr by July 2027	Under construction	Too early
FY26 annual report	Positive near-term outlook for capsule gelatin	Q1 and Q2 FY27 sales up 2% and 22%	On track

Narrative drift: With no concalls and no numeric guidance, there is little to hold management to. The annual reports tell a steady story (capsule gelatin, collagen peptide growth, capacity added in steps), and the numbers match it. The parent's disclosures are the only source of expansion dates.

5. Bottom line

Durable earning trigger? → YES

Concrete capacity additions in collagen peptide are already showing in volumes and margins, and a big gelatin expansion follows in July 2027. The catch is a price-driven business: tariffs, Chinese gelatin and raw-bone costs can swing margins back.

Management consistent? → MAYBE

No calls and no targets, so consistency can't really be tested. What it did say in the annual report has broadly happened, and the parent's timeline for the gelatin plant is the one date to check.

6. Checkpoints for next quarter

- Operating margin stays above 24% in the December quarter
- Sales keep growing on last year in the December quarter
- Gelatin expansion stays on schedule for July 2027

This is not investment advice. Do your own due diligence.